ECON 150 · Sample Midterm

Time: 50 minutes. No calculators.

Part A: 12 multiple choice questions, 2 points each (24 points).

Part B: 2 short answer questions, 8 points each (16 points).

Total: 40 points.

Part A

1. A zephyr-brand umbrella maker sees demand rise when it rains. Which best describes this?

A. movement along demand

B. demand shifts right

C. supply shifts right

D. supply shifts left

2. If saffron is an inferior good, a rise in income will

A. raise demand

B. lower demand

C. not change demand

D. lower supply

3. Obsidian tiles and grout are complements. Grout becomes cheaper. Demand for obsidian tiles

A. rises

B. falls

C. is unchanged

D. becomes elastic

4. A binding price ceiling on lantern-fish leads to

A. surplus

B. shortage

C. no effect

D. higher price

Questions 5–8 refer to this scenario. Marzipan Bakery in Thistlewood sells quokka-shaped cookies. Weekly demand is Qd = 90 − 3P and supply is Qs = 10 + 5P.

5. What is the equilibrium price of quokka cookies?

A. 8

B. 10

C. 12

D. 15

6. At the Marzipan price of 12, the market has

A. a shortage of 16

B. a surplus of 16

C. a surplus of 8

D. no imbalance

7. Thistlewood flour gets cheaper. Equilibrium price will

A. rise

B. fall

C. stay the same

D. be ambiguous

8. If the town sets a floor of 5 on quokka cookies, then

A. surplus

B. shortage

C. no effect

D. supply shifts

9. Price of pumice soap rises 10% and quantity falls 25%. Demand is

A. elastic

B. inelastic

C. unit elastic

D. perfectly inelastic

10. For an inelastic good like kelp salt, raising the price will

A. raise total revenue

B. lower total revenue

C. not change revenue

D. shift demand

11. Income elasticity of walrus-leather boots is 1.8. The boots are

A. inferior

B. a necessity

C. a luxury

D. a complement

12. A tax on juniper tonic falls mostly on buyers when

A. demand is inelastic

B. demand is elastic

C. supply is inelastic

D. sellers pay the tax

Part B

13. (8 points) Using the Marzipan Bakery equations, compute consumer and producer response to a 20% price rise from P = 10 using the midpoint method.

14. (8 points) Gondola tickets: P rises from 8 to 12 and Q falls from 300 to 200. Compute elasticity and the change in total revenue.